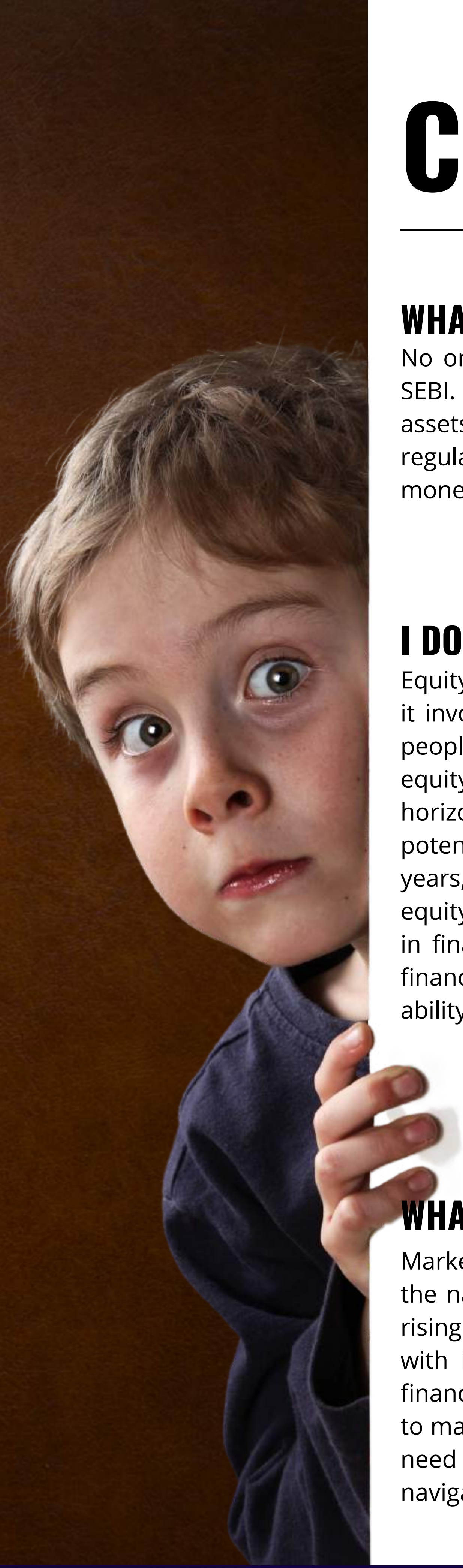

COMMON FEARS

WHAT IF SOMEONE RUNS AWAY WITH MY MONEY?

No one can run away with our money. It is well regulated by SEBI. So, they appoint a third-party custodian that holds the assets and the entire structure is very formal and well regulated. No individual or company can run away with our money.

I DONT UNDERSTAND EQUITY AT ALL!

Equity is relatively more complex than other asset classes since it involves a lot of uncertainty and it is very natural for many people to get overwhelmed with it. However, on the other side, equity gives the best returns. If we have a long investment horizon, very few asset classes will be able to match the potential of equity. For instance, if we need money after 20 years, FD will only increase our money to 5 times whereas equity can multiply it 12-16 times or even higher. The difference in final value is huge. That is why equity is required in most financial plans. Long term plans with moderate risk-taking ability need to be planned with equity.

WHAT IF MARKET FALLS?

Market falls are inevitable but they will get back up too. That is the nature of the markets. We cannot be afraid of the market rising and falling when investing in mutual funds. If we deal with it systematically, by not trying to time the market, our financial goals will be met and we will perform well. If we give in to market enthusiasm, only then will investments take a hit. We need to have a disciplined approach and we will be able to navigate through a volatile market.